

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

FORMUKLEEN, INC., *Complainant*

v.

TOP SHIPPING SYSTEMS, CORP., *Respondent*.

DOCKET NO. 25-08

Served: April 1, 2026

ORDER OF: Richard AMBROW, *Administrative Law Judge*.

**ORDER GRANTING IN PART AND DENYING IN PART RESPONDENT’S MOTION TO DISMISS,
GRANTING IN PART AND DENYING IN PART COMPLAINANT’S MOTION TO COMPEL, AND
REQUIRING RESPONDENT TO PROVIDE A DECLARATION**

On March 9, 2026, Complainant filed Complainant’s Combined Motion to Exceed Page Limits and to Compel Reasonable Discovery (“March 9 Motion”). The March 9 Motion includes Complainant’s Motion to Compel Reasonable Discovery (“MTC”), as well as several exhibits. On March 17, 2026, I entered an Order Granting Motions for Leave to Exceed Page Limits and Motion for Extension of Response Deadline, giving Respondent until March 23, 2026, to respond to the MTC. On March 23, 2026, Respondent filed its Response to Motion to Compel (“MTC Opp.”).

On March 13, 2026, Respondent filed a Motion to Dismiss for Lack of Jurisdiction (“MTD”). On March 15, 2026, Complainant filed Complainant’s Opposition to Respondent’s Motion to Dismiss for Lack of Jurisdiction (“MTD Opp.”). On March 23, 2026, Respondent filed its Reply to the Opposition to the Motion to Dismiss (“MTD Reply”).

For the reasons discussed, the MTD is **GRANTED IN PART** as to Count 4 of Complainant’s Complaint. Count 4 of Complainant’s Complaint (Violation of 46 C.F.R. § 515.32: Failure to Furnish Shipment Information to Principal) is **DISMISSED**¹ because 46 C.F.R. § 515.32 applies only to ocean freight forwarders (“OFF”), and nothing in the Complaint alleges that Respondent was acting as an OFF where the containers at issue were imported. The MTD is **DENIED IN PART** regarding Counts 1, 2, 3, and 5 because the Complaint alleges facts that, if taken as true, support an assertion that Respondent acted as a non-vessel operating common carrier (“NVOCC”) in relation to the shipments at issue.

¹ A dismissal whole or in part will become final in the absence of review by the Commission. Any party desiring to appeal may file exceptions within twenty-two (22) days of the date of service. (46 C.F.R. § 502.227(b)).

The MTC is **GRANTED IN PART** and **DENIED IN PART** as discussed below. Respondent is **ORDERED** to produce a declaration, sworn to under penalty of perjury, as described further below, no later than **April 15, 2026**. I defer ruling on the remaining portions of the MTC until after I receive the ordered declaration.

I. BACKGROUND

The Commission served Complainant's Complaint on June 17, 2025. (*See* Notice of Filing of Complaint and Assignment). In its Complaint, Complainant alleges that it had goods imported in two separate containers. (Complaint, ¶¶ 4.1-4.2). Complainant allegedly instructed Respondent, who is registered with the FMC as a non-vessel-operating common carrier ("NVOCC"), and who "coordinated transportation and logistics services" for Complainant, to have the containers delivered to Complainant's warehouse. (Complaint, ¶ 4). Respondent, however, allegedly held onto the containers and their contents because of past-due payment from Complainant. (Complaint, ¶¶ 2, 4.1-4.2). The Complaint alleges that Respondent violated 46 U.S.C. §§ 41102(c), 41102(d)(B), 41104(a)(4)(E), and 41104(a)(10), as well as 46 C.F.R. § 515.32. (*See generally* Complaint).

On July 16, 2025,² Complainant filed Complainant's Motion for Summary Judgment ("MSJ"). I denied the MSJ because I found that discovery was needed to resolve several questions of fact as to whether Respondent was acting as an NVOCC. (*See* Order Denying Motion for Summary Judgment, at 7-8 ("MSJ Order")). In particular, I wrote:

In addition, there are other facts that are unknown, which could clarify whether Respondent acted as an NVOCC for purposes of this matter. For example, there is no indication that Respondent here purchased transportation services, such as cargo space, from a common carrier and offered it for resale, or paid port-to-port charges, or entered into any agreement with the underlying shipper, who was apparently HGA. (*See* 46 C.F.R. § 515.2(k)(1), (2), and (3)). Likewise, while Respondent is a registered NVOCC, there is no information in the record regarding how Respondent holds itself out as an NVOCC, *e.g.*, there is no information about advertising it does, nor is there any tariff information. (46 U.S.C. § 40102(7)(A) (stating that a "common carrier" is a person that "holds itself out to the general public to provide transportation by water" of "cargo. . . ."))).

(MSJ Order, at 7). Because discovery was still pending, I stated that the MSJ was denied without prejudice. (MSJ Order, at 8). On July 23, 2025, I issued a Scheduling Order that contained deadlines for completion of discovery.

² Complainant filed a procedurally defective version of the MSJ; the date in the main text refers to the date Complainant filed a procedurally proper motion.

II. MOTION TO DISMISS

A. Arguments in the MTD

As noted above, Respondent filed the MTD on March 13, 2026, arguing that Respondent did not act as an NVOCC in relation to the shipments at issue. (*See generally* MTD). Respondent argues that it acted as a customs broker, arranged for drayage, and provided warehousing services, but these activities alone do not make it an NVOCC. (MTD, at 1). Respondent did not issue any bills of lading, there is no proof that Respondent moved the cargo anywhere but within the United States, and no proof that Respondent booked the cargo. (MTD, at 2-3). Respondent also asserts that nothing in the record makes Respondent an OFF. (MTD, at 6). Respondent cites several cases where there was a finding that a party did not act as an NVOCC, and the claim was dismissed. (MTD, at 4-5, 7). Respondent argues that it acted within its rights, and that any dispute would be governed by state law, and not the Shipping Act. (MTD, at 2, 9). For support, the MTD attaches all the same exhibits that were before me when I considered the MSJ. (*Compare* MTD, Exs. A-E, *with* Respondent's Response to Motion for Summary Judgment ("MSJ Opp."), Exs. A-E). The only new evidence in the exhibits are three paragraphs added to the declaration of Respondent's officer, regarding a warehouse receipt, an invoice, and Customs and Border Protection. (*Compare* MTD, Ex. A, *with* MSJ Opp., Ex. A)

In response to the MTD, Complainant asserts that in the MSJ Order, I already concluded that more facts are needed to decide whether Respondent, a licensed NVOCC, acted as an NVOCC in relation to the shipments at issue. (MTD Opp., at 2-3, 6-7). Complainant argues that Respondent needs to provide additional documents in order to allow Complainant to develop the factual record. (MTD Opp., at 3-6).

Respondent replies to Complainant by again noting that it did not issue the bills of lading, and that there is no evidence that Respondent coordinated the move of the cargo from the point of origin to the destination. (MTD Reply, at 1). Respondent notes that Complainant admits that at least some of the freight charges were paid by a Chinese entity. (MTD Reply, at 2, and exhibit). Respondent also reiterates that there is no evidence that Respondent acted as an OFF. (MTD Reply, at 3). Respondent again argues that this is a state law dispute. (MTD Reply, at 2-3).

B. MTD Standard

In general, the Commission's Rules of Practice and Procedure ("Commission's Rules") do not explicitly provide for motions to dismiss. Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. (46 C.F.R. § 502.12). Federal Rule of Civil Procedure 12(b)(1) permits a party to raise, by motion, the defense of lack of subject matter jurisdiction. (FED. R. CIV. P. 12(b)(1)); *see also Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2011 WL 7144008, at *11 (FMC Aug. 1, 2011)). If the moving party makes a "factual attack" challenging subject-matter jurisdiction, the moving party may rely on facts outside the complaint. (*Mitsui*, 2011 WL 7144008, at *11). When, however, jurisdictional facts are intertwined with facts central to the merits of a claim, the Rule 12(b)(6) standard – where facts alleged are taken as true – applies. (*MAVL Capital, Inc. v. Marine Transp. Logistics Inc.*, Dkt.

No. 16-16, 2 F.M.C. 2d 198, 202-03, 2020 WL 13512925, at *4-*5 (FMC Oct. 29, 2020)). One ALJ stated that in such a situation, the judge should usually defer ruling on the jurisdictional issue until the merits are heard. (*Ocean Network Express PTE. Ltd. and Ocean Network Express (N.A.), Inc. – Possible Violations of 46 U.S.C. § 41102(c)*, Dtk. No. 21-17, 2022 WL 602648, at *3 (ALJ Feb. 23, 2022) (admin. final, Jan. 17, 2023)).

C. Analysis

Applying the Rule 12(b)(6) standard, the MTD is **DENIED IN PART** as to Counts 1, 2, 3, and 5, and **GRANTED IN PART** as to Count 4 of the Complaint.

Turning first to Counts 1, 2, 3, and 5, Complainant alleges violations of sections 41102(c) and (d), as well as sections 41104(a)(4) and (a)(10). Under each of these counts, Complainant alleges that Respondent was acting as an NVOCC. An NVOCC is a type of ocean transportation intermediary (“OTI”). (46 U.S.C. § 40102(20)).

For the Commission to have jurisdiction over an entity, the entity must be acting as a regulated entity in relation to the conduct at issue. (*See Auction Block Co. v. Fed. Mar. Comm’n*, 606 Fed. App’x. 347, 347-48 (9th Cir., 2015) (holding that the Commission lacked jurisdiction where the respondent city, which provided terminal facilities to common carriers, was not a marine terminal operator as to a dispute arising out of the city’s fish dock)). The claims under section 41102 require the respondent to act as a common carrier, marine terminal operator, or OTI. (*See* 46 U.S.C. §§ 41102(c) and (d)). The claims under section 41104 require the respondent to act as a common carrier. (*See* 46 U.S.C. §§ 41104(a)(4) and (a)(10)). In turn, an NVOCC is a type of common carrier. (46 U.S.C. § 40102(17)). Thus, if Respondent acted as an NVOCC, the Commission would have jurisdiction to consider Complainant’s claims under sections 41102(c) and (d), as well as sections 41104(a)(4) and (a)(10).

An NVOCC is defined as a common carrier that does not operate the vessels by which the ocean transportation is provided, and “is a shipper in its relationship with the ocean carrier.” (46 U.S.C. § 40102(17)). In turn, a common carrier is:

a person that—

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. . . .

(46 U.S.C. § 40102(7)). A shipper is a cargo owner, the person for whose account the ocean transportation of cargo is provided, the person to whom delivery is to be made, a shippers’

association, or an NVOCC that accepts responsibility for payment of all charges applicable under the tariff or service contract. (46 U.S.C § 40102(23)).

In *Worldwide Relocations, Inc., Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 As Well As The Commission's Regulations* at 46 C.F.R. 515.13, 515.21, and 520.3, Dkt. No. 06-01, 2012 WL 11914713 (FMC, Mar. 15, 2012) (“*Worldwide Relocations*”), the Commission discussed whether several entities that were not licensed or bonded as NVOCCs had acted like NVOCCs. Among other things, the Commission noted that whether an entity acts as an NVOCC is a “fact intensive inquiry[.]” that documentary labels alone are not determinative, and that the resolution of this question requires an examination of each entity’s conduct on a particular shipment. (*Worldwide Relocations*, 2012 WL 11914713, at *5) (citations omitted)). The Commission then addressed the statutory elements of the definition of “common carrier,” noting that the first element is whether the entity holds itself out as a common carrier, the second is whether the entity assumes responsibility for transportation, and third is the use of a vessel. (*Id.*, at *6-8). The Commission noted that the final element is usually straightforward, and often not in issue. (*Id.* at *8). As for “holding out,” the Commission noted that facts to consider include, among other things, the entity’s advertisements, as well as whether it has a tariff. (*Id.*, at *6). In considering the “assumes responsibility” factor, the Commission looked to, among other things, the description of an NVOCC’s services in the Commission’s regulations. (*Id.*, at *8 (citing 46 C.F.R. § 515.2)). As an example, the Commission stated that if a bill of lading clearly identifies the proprietary shipper, it could result in a finding that the respondent entity did not assume responsibility for the shipment in question. (*Id.*, at *9).

The Commission’s regulations identify services that are usually provided by an NVOCC:

(k) Non-vessel-operating common carrier services refers to the provision of transportation by water of cargo between the United States and a foreign country for compensation without operating the vessels by which the transportation is provided, and may include, but are not limited to, the following:

- (1) Purchasing transportation services from a common carrier and offering such services for resale to other persons;
- (2) Payment of port-to-port or multimodal transportation charges;
- (3) Entering into affreightment agreements with underlying shippers;
- (4) Issuing bills of lading or other shipping documents;
- (5) Assisting with clearing shipments in accordance with U.S. government regulations;
- (6) Arranging for inland transportation and paying for inland freight charges on through transportation movements;
- (7) Paying lawful compensation to ocean freight forwarders;

- (8) Coordinating the movement of shipments between origin or destination and vessel;
- (9) Leasing containers;
- (10) Entering into arrangements with origin or destination agents;
- (11) Collecting freight monies from shippers and paying common carriers as a shipper on NVOCC's own behalf.

(46 C.F.R. § 515.2(k)).

In this case, the Complaint alleges that Complainant is an importer of cargo. (Complaint, at 3). To facilitate the importation of its cargo, Complainant engaged Respondent, an NVOCC, to act as its OTI. (*Id.*, at 1-3). Although the parties never executed a written contract, a consistent course of dealing developed in which the Respondent coordinated transportation and logistics services on Complainant's behalf. (*Id.* at 3). Among other things, the Complaint specifically alleges that Respondent, an NVOCC, provided customs brokerage services, arranged for inland transportation of Complainant's containers, stored shipments in warehouses, advanced freight-related charges, and paid port storage fees. (*See generally* Complaint). Complainant alleges that even though it paid all fees related to two containers (specifically, CSHU4047424 and BSIU8431017), Respondent nevertheless violated the Shipping Act by holding onto Complainant's containers related to past-due payments that Complainant owed Respondent. (*Id.*).

Whether Respondent acted as an NVOCC in relation to the shipment of the two containers is relevant both to jurisdiction and the substantive claims. For example, under 41102(c), the inquiry is whether a regulated entity, such as an NVOCC, engaged in unjust and unreasonable cargo handling practices. (46 U.S.C. § 41102(c)). Therefore, the jurisdictional facts are intertwined with facts central to the merits of a claim. In such a case, I review the Complaint in light of the Rule 12(b)(6) standard, where the facts alleged are taken as true. (*MAVL Capital*, 2 F.M.C. 2d at 202-03).

Taking the facts alleged in the Complaint as true, I find that the Complaint plausibly alleges that Respondent acted as an NVOCC. The Complaint alleges that Complainant retained a licensed NVOCC to help it import cargo to the United States, and Respondent allegedly performed many, albeit not all, of the services an NVOCC typically provides. (*See generally* Complaint; *see also* 46 U.S.C. § 40102(17); 46 C.F.R. § 515.2(k)). This is sufficient to allege jurisdiction.

Respondent argues that the Complaint should be dismissed for lack of jurisdiction anyway because it did not act as an NVOCC or an OFF. Respondent's MTD includes copies of bills of lading that show that they were not issued by Respondent. (*See* MTD, Exs. B & C; *see also* MSJ Opp, at Exs. B & C). Respondent also asserts that Complainant points to no evidence of Respondent coordinating the movement of the cargo from China to the United States. (MTD, at 4). Although Respondent admits it engaged in some services that an NVOCC would perform, such as local drayage, warehouse operator, and customs clearance, those facts do not make it an NVOCC. (MTD, at 4).

Respondent's arguments regarding its status as an NVOCC are off-mark. The fact that there are no bills of lading is not dispositive. (*Augst v. Transparent Logistics LLC*, Dkt. No. 2028(I), 2026 WL 657092, at *16-17 (ALJ Feb. 27, 2026) (administratively final Mar. 31, 2026) (finding that the respondent was an NVOCC where it engaged in many of the functions of an NVOCC, despite no bill of lading)). I appreciate Respondent's point that the Complaint alleges that it only provided some of an NVOCC's services. But, nevertheless, I find that there are sufficient facts alleged in the Complaint to make out a plausible claim that Respondent acted as an NVOCC. Indeed, I already ruled in the MSJ Order that additional discovery is needed to develop the factual record. Therefore, because the jurisdictional facts are intertwined with facts central to the merits of a claim, I defer ruling on the jurisdictional issue until the merits are heard. (*Ocean Network Express*, 2022 WL 602648, at *3). The MTD is **DENIED IN PART** as to Counts 1, 2, 3, and 5. The denial is without prejudice, and Respondent may argue in the hearing on the briefs that the Commission lacks jurisdiction. The parties may continue to take discovery on the issue of whether Respondent acted as an NVOCC in relation to the two containers at issue. The related MTC is addressed below.

The MTD, however, is **GRANTED IN PART** as to Count 4, as Respondent successfully argues that the Complaint does not allege that Respondent was acting as an OFF. The Complaint alleges, in general, that Complainant imported materials, and that Respondent engaged in, among other things, customs clearance services. (*See generally* Complaint). There is no allegation that Complainant exported any cargo. Count 4 of the Complaint alleges that Respondent failed to disclose the location of its containers in violation of 46 C.F.R. § 515.32. (Complaint, Count 4).

Section 515.32 provides:

(a) ***Notice of shipper affiliation.*** When a licensed freight forwarder is a shipper or seller of goods in international commerce or affiliated with such an entity, the licensed freight forwarder shall have the option of:

- (1) Identifying itself as such and/or, where applicable, listing its affiliates on its office stationery and billing forms, or
- (2) Including the following notice on such items:

This company is a shipper or seller of goods in international commerce or is affiliated with such an entity. Upon request, a general statement of its business activities and those of its affiliates, along with a written list of the names of such affiliates, will be provided.

(b) ***Arrangements with unauthorized persons.*** No licensed freight forwarder shall enter into an agreement or other arrangement (excluding agency arrangements not prohibited by law or this part) with an unlicensed person that bestows any fee, compensation, or other benefit upon the unlicensed person. When a licensed freight forwarder is employed to perform forwarding services by the agent of the person responsible for paying for such services, the licensed freight forwarder shall also transmit a copy of its invoice for services rendered to the person paying those charges.

(c) ***Information provided to the principal.*** No licensed freight forwarder shall withhold any information concerning a forwarding transaction from its principal, and each licensed freight forwarder shall comply with the laws of the United States and shall exercise due diligence to assure that all information provided to its principal or provided in any export declaration, bill of lading, affidavit, or other document which the licensed freight forwarder executes in connection with a shipment is accurate.

(d) ***Invoices; documents available upon request.*** Upon the request of its principal(s), each licensed freight forwarder shall provide a complete breakout of its charges and a true copy of any underlying document or bill of charges pertaining to the licensed freight forwarder's invoice. The following notice shall appear on each invoice to a principal:

Upon request, we shall provide a detailed breakout of the components of all charges assessed and a true copy of each pertinent document relating to these charges.

(46 C.F.R. § 515.32).

By its terms, section 515.32, describes only a “freight forwarder duties.” An OFF is an entity that exports cargo from the United States. (46 U.S.C. § 40102(19)(a)). Therefore, section 515.32 only applies to an OFF, which, by definition, is an entity exporting cargo from the United States. Section 515.32 does not govern the duties of all OTIs in general. Ocean freight forwarders are agents of their principals, and thus owe their principals fiduciary duties, including the disclosure of information. (*Licensing, Financial Responsibility Requirements, and General Duties for Ocean Transportation Intermediaries*, 64 FED. REG. 11156, 11167). In contrast, NVOCCs have different relationships with their principals; they have the same relationship with their principals as vessel-operating common carriers do with shippers, and do not have the same disclosure obligations. (*Id.*). Thus, the regulations in section 515.32 only apply to OFFs. (*Id.*, at 11168).

Respondent argues that there is no jurisdiction because Respondent could not have been acting as an OFF. Respondent asserts: “The shipments were all inbound, so there was no way that the Respondent could be an ocean freight forwarder. In the case at bar, the cargo was all inbound from China.” (MTD, at 5). This argument is consistent with the Complaint, which only alleges that Complainant imports cargo, that Respondent provided customs services for this cargo, and there is no allegation of any export of cargo by Complainant. (*See generally* Complaint).

Complainant’s argument in opposition to the MTD did not address whether Respondent acted as an OFF. (*See generally* MTD Opp). But, Complainant asserts in its Complaint that section 515.32 applies to both OFFs and NVOCCs. (*See generally* MTD Opp.; Complaint, at Count 4). This is not correct. In *Augst*, 2026 WL 657092, at *22-23, a claim under sections 515.32(c) & (d) against an NVOCC was dismissed where the cargo was imported, and therefore the respondent could not have been acting as an OFF.

Accordingly, I am satisfied that there is no jurisdiction over a claim under 46 U.S.C. § 515.32, and I thus **DISMISS** Count 4.

III. MOTION TO COMPEL

In Commission proceedings, generally, parties may obtain discovery regarding any nonprivileged matter that is relevant to any party's claim or defense—including the existence, description, nature, custody, condition, and location of any documents or other tangible things and the identity and location of persons who know of any discoverable matter. (46 C.F.R. § 502.141(e)(1)). Relevant information need not be admissible at hearing if the discovery appears reasonably calculated to lead to the discovery of admissible evidence. (*Id.*). Discovery may be limited where it is unreasonably cumulative or duplicative, or where the burden or expense of the proposed discovery outweighs its likely benefit considering the needs of the proceeding, the amount in controversy, the parties' resources, the importance of the issues at stake in the action, and the importance of the discovery in resolving the issues. (46 C.F.R. §§ 502.141(e)(2)(A) and (C)). Interrogatories are limited to 50, including all discrete subparts. (46 C.F.R. § 502.145(a)). Objections to interrogatories must be stated with specificity. (46 C.F.R. § 502.145(b)(4)).

A. Requests for Production

Complainant argues that Respondent's responses to the following Requests for Production ("RFP") were deficient:

2. All internal communications concerning FormuKleen's account, including decisions to revoke credit terms or reroute shipments.

- a. Still checking for others
- b. RX000076-RX000083

3. All internal communications concerning FormuKleen shipments.

- a. Still checking. Internal Communication was verbal.
- b. [s]ee RX000076-RX000083

10. All internal or external guidance or policies on when and how to withhold cargo for unpaid debts.

- a. No written guidelines that Respondent is aware of.

13. All organizational charts or job descriptions showing who was responsible for transportation coordination, customer communication, and financial decision-making during the time of the events at issue.

- a. None.

I address RFP Nos. 2, 3, 10 and 13 together because Respondent responded by claiming documents generally do not exist, whereas Complainant doubts that representation.

Regarding RFP Nos. 2 and 3, Complainant asserts that Respondent has taken the position that much of the communication regarding Complainant's account was verbal. Complainant, however, doubts that representation, noting that these requests would require the production of internal communications, notes, system records, decision logs, writings regarding credit status, holds, release decisions, lien assertions, demands for payment, or internal deliberations. As for RFP Nos. 10 and 13, Complainant argues that Respondent relied on written terms and conditions to justify its conduct, but nevertheless asserts that no written guidelines exist. Complainant asked Respondent to indicate that there are no other documents, in particular for a sworn statement, but Respondent refused. (MTC, at 8-10, 12-13).

Respondent responds by asserting that it cannot produce that which does not exist, and that it produced what it has, some of which goes "back to September 2025[.]" In any event, Respondent asserts that nothing requires a sworn statement. (MTC Opp., at 3-4, 8-9).

I appreciate that if documents do not exist, they cannot be produced. As noted below, however, Respondent's response to RFP No. 6 causes me concern that Respondent has kept poor records and/or spoliated evidence. Accordingly, I will order that Respondent produce a declaration, which will be sworn to under penalty of perjury, describing its record keeping methods, as well as the searches it performed to look for responsive documents. I will defer ruling regarding RFP Nos. 2, 3, 10 and 13 until I review Respondent's declaration.

4. All TSS communications with parties other than FormuKleen relating to all FormuKleen shipments managed by TSS, including the subject shipments.

a. Objected to as overly broad and not likely to lead to the discovery of admissible evidence. Asking for every document on all shipments is improper.

7. All records of duties, drayage, warehousing, storage, port-related, or other charges paid or advanced by TSS on behalf of FormuKleen for any shipment in addition to the subject shipments.

a. Objected to as overly broad and not likely to lead to the discovery of admissible evidence for shipments that are not at issue in this case, but without waiving this objection, please see the aging reports.

I address RFP No. 4 and 7 together, as they raise similar issues.

Complainant seeks records of charges Respondent paid or advanced on Complainant's behalf for any of Complainant's shipments. Complainant also seeks communication between Respondent and third parties regarding Complainant's shipments.

Respondent responds that there were numerous shipments in the past, which Respondent contends is irrelevant. Specifically regarding RFP No. 7, Respondent indicates that it produced prior invoices and aging reports. (MTC Opp., at 5, 7).

Complainant's MTC is **GRANTED** regarding RFP Nos. 4 and 7. Respondent's arguments are off-mark. Determining whether a respondent is acting as an OTI is a fact-intensive inquiry. (*Worldwide Relocations*, 2012 WL 11914713, at *5). For example, to determine whether an entity is an NVOCC, a fact finder should consider, among other things, its advertisement to the general public. (*Id.*, at* 6). Based on that advertising, the fact finder can fairly make presumptions about what an entity does. (*Id.*, at *8). Also, an entity's routine practice can be evidence of how it acted in a particular case. (*Id.*).

Based on the Commission's decision in *Worldwide*, I find that how Respondent interacted with Complainant in the past can be relevant to how it acted with regard to the shipments at issue. In addition, how Respondent interacts with third parties, including in its advertising and how it conducts its operations, can be relevant to the ultimate inquiry in this case. In other words, because the determination of whether an entity is a common carrier partly depends on how the entity holds itself out to the public (46 U.S.C. § 40102(7)), almost any communication between Respondent and any third party is potentially relevant. Also, because NVOCCs perform a variety of duties, such as issuing bills of lading, entering affreightment agreements, assisting with customs clearance, and paying lawful compensation to freight forwarders (*see* 46 C.F.R. § 515.2(k)), the services Respondent provides are generally relevant. Thus, contrary to Respondent's position, how Respondent and Complainant have interacted historically is potentially relevant as it can shed light on how Respondent acted during the shipments at issue.

6. All records of duties, drayage, warehousing, storage, or other charges paid or advanced by TSS related to the subject shipments.

a. See documents already produced which give amounts. More documents will be forthcoming assuming they are still available.

Complainant asserts that Respondent has not produced complete documentation supporting any claimed "advanced charges," including proof of payment, third-party invoices, and accounting records showing entries regarding Complainant's account. (MTC, at 11).

Respondent asserts that relevant invoices and aging reports have been produced. Respondent further asserts that it clearly advanced charges because Complainant received its cargo. (MTC Opp., at 6-7).

It appears that the parties' dispute regarding RFP No. 6 is the result of miscommunication. Complainant apparently seeks information regarding "advanced charges." (MTC, at 11). I understand why Complainant would seek such information; Respondent has argued throughout this proceeding that it held onto the two containers at issue to collect past-due amounts. Therefore, it would be reasonable for Complainant to seek information about the fees Respondent allegedly advanced in the past for which it sought collection. But, RFP No. 6 does not ask about charges advanced for which Respondent sought collection by holding onto the

containers. Instead, RFP No. 6 asks for “all records . . . related to the subject shipments.” I read “subject shipments” to mean the two containers that were withheld. It appears that is how Respondent understood RFP No. 6, asserting it produced the invoices related to the shipments, and that Respondent received its cargo. (MTC Opp., at 6-7). Thus, it appears that there is a mismatch between what Complainant sought with RFP No. 6, and what RFP No. 6 actually says. The MTC is **DENIED** as to RFP No. 6.

Nevertheless, I am greatly concerned about Respondent’s statement that: “More documents will be forthcoming assuming they are still available.” This statement suggests that Respondent may have spoliated evidence. Further, considering that Respondent denied that certain documents may exist, I will require that Respondent provide a sworn-to declaration, as described below.

B. Interrogatories

1. Identify all employees, contractors, or agents who were involved in the handling, transportation, storage, release, or diversion of the subject shipments.

Answer: TSS objects to this interrogatory as overly broad to the extent it seeks identification of “all employees, contractors, or agents.” Subject to and without waiving this objection, TSS states that it did not hire or retain any “agents” with respect to the subject shipments. The individuals involved on TSS’s end were employees Eddy Del Monte and Ricky Villena, who supervised customs clearance and arranged drayage. A drayage vendor was retained solely for transportation under their supervision.

With respect to the subject shipments (BSIU8431017 and CSHU4047424), TSS was not acting as a Non-Vessel-Operating Common Carrier (“NVOCC”) or as an Ocean Transportation Intermediary (“OTI”). The term OTI refers to both an Ocean Freight Forwarder and an NVOCC. See 46 U.S.C. § 40102(17), (21); 46 C.F.R. § 515.2(k)–(l).

Under these provisions, an NVOCC is one that issues a house bill of lading, holds itself out as providing ocean transportation for hire, books cargo with ocean carriers, or otherwise assumes carrier responsibility for the ocean carriage of goods. TSS did none of these things. It did not book the cargo with the ocean carriers, did not issue house bills of lading, and did not assume or undertake responsibility for the ocean carriage of the shipments. Nor did TSS act as an Ocean Freight Forwarder or an NVOCC.

Instead, TSS’s role was limited to customs clearance, arranging drayage, and, in the case of container BSIU8431017, providing temporary warehouse services pending payment. Once payment was made, both shipments were released and delivered. These activities were undertaken in TSS’s capacity as a warehouse and drayage provider, not as an NVOCC or Ocean Freight Forwarder.

Complainant argues that Respondent's answer is unresponsive, as Respondent limited the answer to its own employees. Respondent also does not identify any drayage provider that Respondent retained. (MTC, at 14-15).

Respondent argues that it identified names in its discovery correspondence. (MTC Opp., at 11).

The MTC regarding Interrogatory No. 1 is **GRANTED**. As noted above, one of the central issues in this matter is whether Respondent acted as an NVOCC in relation to the two containers at issue. Although the record already has some material, such as bills of lading, other information is still missing. It would be helpful to know, for example, if Complainant and/or Respondent contacted anyone else to have the cargo transported. Did Respondent, for example, help make arrangements with another entity to have Complainant's cargo imported? If so, whom? And when? Did Complainant and Respondent have a working-relationship that pre-dated the two containers at issue? Did Complainant retain Respondent directly, or did someone else retain Respondent? These are only a few questions to which it would be helpful to know the answer. But, not all of this information is currently in the record. Thus, it would be highly relevant to the issue of whether Respondent acted as an NVOCC to know whom all of the entities that were involved, not just Respondent's employees. Therefore, Respondent is required to supplement its answer to Interrogatory No. 1, and to identify all employees, contractors, or agents who were involved in the handling, transportation, storage, release, or diversion of the subject shipments.

C. Required Declaration

Respondent is to file a sworn declaration no later than **April 15, 2026**, from one (or more) witness(es) with first-hand knowledge describing: a) all electronic and physical document storage locations in which Respondent maintains or keeps business records, including, for example, databases, email systems, computers, clouds, filing cabinets, storage garages, employees' houses, and/or warehouses; b) describe all document storage and retention systems; as part of this response, provide copies of any written description of any document retention systems that exist; c) describe how Respondent searched for responsive documents, including identifying all individuals who participated in any searches, specifically describing any electronic or physical searches performed (including a description of electronic search terms used), and identifying all electronic and physical document storage locations searched; and d) confirm that there are no additional document locations to be searched, or searches to be performed.

If Respondent identifies any additional searches to be performed while producing this declaration, or if Respondent is already aware of additional locations to be searched, or electronic search terms to be used, Respondent is required to complete all searches, and make any supplemental productions, no later than **April 15, 2026**.

IV. CONCLUSION

It is **HEREBY ORDERED** that the MTD is **DENIED IN PART** as to Counts 1, 2, 3, and 5. It is

FURTHER ORDERED that the MTD is **GRANTED IN PART** as to Count 4. It is

FURTHER ORDERED that the MTC is **GRANTED IN PART** as to RFP Nos. 4 and 7, and Interrogatory No. 1. It is

FURTHER ORDERED that Respondent is to supplement its responses to RFP Nos. 4 and 7, and its answer to Interrogatory No. 1, no later than **April 15, 2026**.

FURTHER ORDERED that the MTC is **DENIED IN PART** as to RFP No. 6. It is

FURTHER ORDERED that the MTC is deferred regarding RFP Nos. 2, 3, 10, and 13. It is

FURTHER ORDERED that Respondent is to file a sworn declaration no later than **April 15, 2026**, from one (or more) witness(es) with first-hand knowledge describing: a) all electronic and physical document storage locations in which Respondent maintains or keeps business records, including, for example, databases, email systems, computers, clouds, filing cabinets, storage garages, employees' houses, and/or warehouses; b) describe all document storage and retention systems; as part of this response, provide copies of any written description of any document retention systems that exist; c) describe how Respondent searched for responsive documents, including identifying all individuals who participated in any searches, specifically describing any electronic or physical searches performed (including a description of electronic search terms used), and identifying all electronic and physical document storage locations searched; and d) confirm that there are no additional document locations to be searched, or searches to be performed

FURTHER ORDERED that if Respondent identifies any additional searches to be performed while producing this declaration, or if Respondent is already aware of additional locations to be searched, or electronic search terms to be used, Respondent is required to complete all searches, and make any supplemental productions, no later than **April 15, 2026**.

Richard C.
Ambrow Jr -S

Digitally signed by
Richard C. Ambrow Jr -S

Date: 2026.04.01
06:35:16 -07'00'

Richard Ambrow
Administrative Law Judge